

# Equity Snap: Alibaba Group (BABA US)

## New fundraising to fund AI expansion

### Equities Internet Software & Services

China

- ◆ Short-term dilution to fund longer-term strategic investments on AI and maintain cloud leadership

Alibaba Group (**BABA US**, USD119.34, Buy, TP USD178.00; **89988 HK**, CNY105.50, Buy, TP CNY149.00; **9988 HK**, HKD123.00, Buy, TP HKD174.00)

(Priced as of 21 Aug 2026)

**What's new:** BABA priced a private placement of 710m newly issued ordinary shares at HKD112.70 per share, implying around 3.7% dilution and an 8.3% discount to the most recent Hong Kong closing price last Friday. The shares are only sold to non-US investors outside the United States under a Regulation S structure, raising about HKD80bn (c. USD10bn) in gross proceeds. BABA plans to use 100% of net proceeds to strengthen its full-stack AI capabilities, spanning chips, computing infrastructure, and AI model development and deployment. While the share price reacted weakly (-8.5% this morning in Hong Kong), the deal was oversubscribed by high-quality long-term investors, including sovereign wealth funds (Reuters, 23 Aug).

**Funding the next leg of AI investment:** Management highlighted that Alibaba is on track to achieve over USD100bn external cloud revenue by 2030 and has high visibility on achieving 20% margin in the JunQ earnings call. In particular, Alibaba guided that annualised AI-related revenue could approach USD10bn (or RMB68bn) as early as next quarter, with MaaS ARR (annual recurring revenue) on track to reach RMB30bn by year-end, potentially earlier. Apart from the equity placement, BABA mentioned that other sources of funding could be derived from: a) better working capital efficiency via collection of prepayment; b) stable e-commerce EBITA; as well as c) net cash (USD31bn as of end-JunQ). Management highlighted that the cash payback period for AI-related capex is around three years based on current average GPM and has potential to shorten to 2-2.5 years.

**Past capital raisings:** Alibaba has tapped various financing channels in recent years, including a USD5bn convertible bond in May 2024, a HKD12bn/USD1.5bn exchangeable bond tied to Alibaba Health in July 2025 and a USD3.2bn zero-coupon in Sep 2025. Both CBs (May 2024/Sep 2025) were accompanied by capped calls to mitigate potential dilution, while Alibaba also raised funds through senior notes during the period (see Exhibit 1 for details).

**For full valuation and risks** and further details see our latest report: [Alibaba Group \(BABA US\); Buy: Cloud stays a bright spot](#), 21 August 2026.

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**Exhibit 1: Alibaba's historical financing activities since 2024**

| Date     | Instrument                             | Size                        | Coupon                                 | Maturity                      | Key terms                                                                                                                      | Use of proceeds                                                                       |
|----------|----------------------------------------|-----------------------------|----------------------------------------|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| May 2024 | Convertible senior notes               | USD5bn                      | 0.50%                                  | Jun 2031                      | Initial conversion price USD105.04, 30% premium to USD80.80 reference price; capped call cap price USD161.6, c100% premium     | Share repurchase + capped call costs                                                  |
| Nov 2024 | Senior unsecured notes (Dual Currency) | USD5bn (USD2.65bn+ RMB17bn) | USD: 4.875%–5.625%<br>CNY: 2.65%–3.50% | 2028-2054 (multiple tranches) | n.a.                                                                                                                           | General corporate purposes, including repayment of offshore debt and share repurchase |
| Jul 2025 | Zero-coupon exchangeable bonds         | USD1.5bn                    | 0%                                     | Jul 2032                      | Exchangeable into AliHealth shares; initial exchange price HKD6.23, 48% premium vs placement; up to 12% of AliHealth shares    | General corporate purposes, including cloud infra + international commerce            |
| Sep 2025 | Zero-coupon convertible senior notes   | USD3.2bn                    | 0%                                     | Sep 2032                      | Initial conversion price USD193.15, 31.25% premium to USD147.16 reference price; capped call cap price USD235.46, c60% premium | 80% cloud infra; 20% international commerce                                           |

Source: Company announcements, HSBC

**Exhibit 2: Alibaba's share price performance after May 2024 /Sep 2025 CB issuance**

| Share price performance | T+0 | T+5D | T+10D | T+20D |
|-------------------------|-----|------|-------|-------|
| 5/23/2024 CB            | -5% | -7%  | -7%   | -11%  |
| 9/12/2025 CB            | 5%  | 13%  | 22%   | 16%   |

Source: Wind, HSBC

# Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

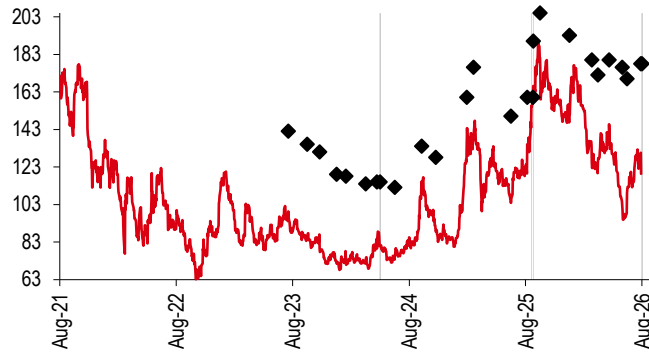
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|             |     |                                                                                |
|-------------|-----|--------------------------------------------------------------------------------|
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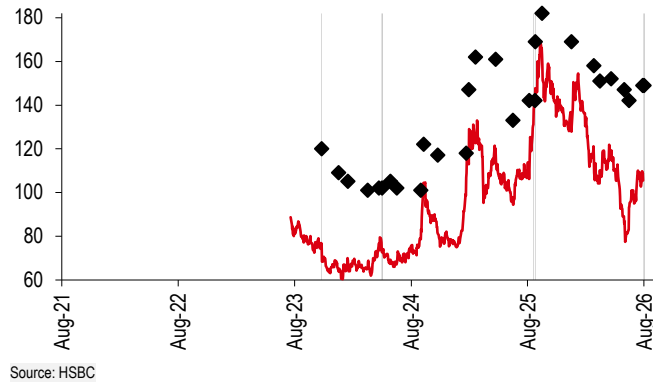
**Share price and rating changes for long-term investment opportunities**
**Alibaba Group (BABA.N) share price performance USD  
Vs HSBC rating history**


Source: HSBC

**Rating & target price history**

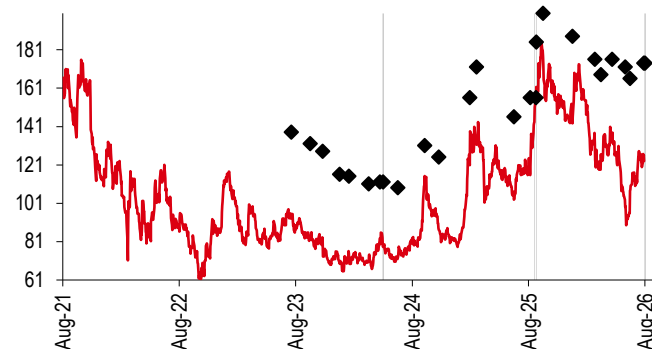
| From         | To         | Date        | Analyst      |
|--------------|------------|-------------|--------------|
| Restricted   | Buy        | 21 Nov 2019 | Binnie Wong  |
| Buy          | Restricted | 23 May 2024 |              |
| Restricted   | Buy        | 24 May 2024 | Charlene Liu |
| Buy          | Restricted | 10 Sep 2025 |              |
| Restricted   | Buy        | 16 Sep 2025 | Charlene Liu |
| Buy          | Restricted | 23 Aug 2026 |              |
| Restricted   | Buy        | 24 Aug 2026 | Charlene Liu |
| Target price | Value      | Date        | Analyst      |
| Price 1      | 142.00     | 10 Aug 2023 | Charlene Liu |
| Price 2      | 135.00     | 08 Oct 2023 | Charlene Liu |
| Price 3      | 131.00     | 16 Nov 2023 | Charlene Liu |
| Price 4      | 119.00     | 09 Jan 2024 | Charlene Liu |
| Price 5      | 118.00     | 07 Feb 2024 | Charlene Liu |
| Price 6      | 114.00     | 09 Apr 2024 | Charlene Liu |
| Price 7      | 115.00     | 14 May 2024 | Charlene Liu |
| Price 8      | Restricted | 23 May 2024 |              |
| Price 9      | 115.00     | 24 May 2024 | Charlene Liu |
| Price 10     | 112.00     | 09 Jul 2024 | Charlene Liu |
| Price 11     | 134.00     | 02 Oct 2024 | Charlene Liu |
| Price 12     | 128.00     | 15 Nov 2024 | Charlene Liu |
| Price 13     | 160.00     | 20 Feb 2025 | Charlene Liu |
| Price 14     | 176.00     | 13 Mar 2025 | Charlene Liu |
| Price 15     | 150.00     | 09 Jul 2025 | Charlene Liu |
| Price 16     | 160.00     | 29 Aug 2025 | Charlene Liu |
| Price 17     | Restricted | 10 Sep 2025 |              |
| Price 18     | 160.00     | 16 Sep 2025 | Charlene Liu |
| Price 19     | 190.00     | 17 Sep 2025 | Charlene Liu |
| Price 20     | 205.00     | 08 Oct 2025 | Charlene Liu |
| Price 21     | 193.00     | 08 Jan 2026 | Charlene Liu |
| Price 22     | 180.00     | 19 Mar 2026 | Charlene Liu |
| Price 23     | 172.00     | 08 Apr 2026 | Charlene Liu |
| Price 24     | 180.00     | 13 May 2026 | Charlene Liu |
| Price 25     | 176.00     | 23 Jun 2026 | Charlene Liu |
| Price 26     | 170.00     | 08 Jul 2026 | Charlene Liu |
| Price 27     | 178.00     | 20 Aug 2026 | Charlene Liu |
| Price 28     | Restricted | 23 Aug 2026 |              |
| Price 29     | 178.00     | 24 Aug 2026 | Charlene Liu |

Source: HSBC

**Alibaba Group (89988.HK) share price performance CNY  
 Vs HSBC rating history**

**Rating & target price history**

| From         | To         | Date        | Analyst      |
|--------------|------------|-------------|--------------|
| N/A          | Buy        | 16 Nov 2023 | Charlene Liu |
| Buy          | Restricted | 23 May 2024 |              |
| Restricted   | Buy        | 24 May 2024 | Charlene Liu |
| Buy          | Restricted | 10 Sep 2025 |              |
| Restricted   | Buy        | 16 Sep 2025 | Charlene Liu |
| Buy          | Restricted | 23 Aug 2026 |              |
| Restricted   | Buy        | 24 Aug 2026 | Charlene Liu |
| Target price | Value      | Date        | Analyst      |
| Price 1      | 120.00     | 16 Nov 2023 | Charlene Liu |
| Price 2      | 109.00     | 09 Jan 2024 | Charlene Liu |
| Price 3      | 105.00     | 07 Feb 2024 | Charlene Liu |
| Price 4      | 101.00     | 09 Apr 2024 | Charlene Liu |
| Price 5      | 102.00     | 14 May 2024 | Charlene Liu |
| Price 6      | Restricted | 23 May 2024 |              |
| Price 7      | 102.00     | 24 May 2024 | Charlene Liu |
| Price 8      | 105.00     | 19 Jun 2024 | Charlene Liu |
| Price 9      | 102.00     | 09 Jul 2024 | Charlene Liu |
| Price 10     | 101.00     | 23 Sep 2024 | Charlene Liu |
| Price 11     | 122.00     | 02 Oct 2024 | Charlene Liu |
| Price 12     | 117.00     | 15 Nov 2024 | Charlene Liu |
| Price 13     | 118.00     | 12 Feb 2025 | Charlene Liu |
| Price 14     | 147.00     | 20 Feb 2025 | Charlene Liu |
| Price 15     | 162.00     | 13 Mar 2025 | Charlene Liu |
| Price 16     | 161.00     | 15 May 2025 | Charlene Liu |
| Price 17     | 133.00     | 09 Jul 2025 | Charlene Liu |
| Price 18     | 142.00     | 29 Aug 2025 | Charlene Liu |
| Price 19     | Restricted | 10 Sep 2025 |              |
| Price 20     | 142.00     | 16 Sep 2025 | Charlene Liu |
| Price 21     | 169.00     | 17 Sep 2025 | Charlene Liu |
| Price 22     | 182.00     | 08 Oct 2025 | Charlene Liu |
| Price 23     | 169.00     | 08 Jan 2026 | Charlene Liu |
| Price 24     | 158.00     | 19 Mar 2026 | Charlene Liu |
| Price 25     | 151.00     | 08 Apr 2026 | Charlene Liu |
| Price 26     | 152.00     | 13 May 2026 | Charlene Liu |
| Price 27     | 147.00     | 23 Jun 2026 | Charlene Liu |
| Price 28     | 142.00     | 08 Jul 2026 | Charlene Liu |
| Price 29     | 149.00     | 20 Aug 2026 | Charlene Liu |
| Price 30     | Restricted | 23 Aug 2026 |              |
| Price 31     | 149.00     | 24 Aug 2026 | Charlene Liu |

Source: HSBC

**Alibaba Group (9988.HK) share price performance HKD  
 Vs HSBC rating history**


Source: HSBC

**Rating & target price history**

| From         | To         | Date        | Analyst      |
|--------------|------------|-------------|--------------|
| N/A          | Buy        | 26 Nov 2019 | Binnie Wong  |
| Buy          | Restricted | 23 May 2024 |              |
| Restricted   | Buy        | 24 May 2024 | Charlene Liu |
| Buy          | Restricted | 10 Sep 2025 |              |
| Restricted   | Buy        | 16 Sep 2025 | Charlene Liu |
| Buy          | Restricted | 23 Aug 2026 |              |
| Restricted   | Buy        | 24 Aug 2026 | Charlene Liu |
| Target price | Value      | Date        | Analyst      |
| Price 1      | 138.00     | 10 Aug 2023 | Charlene Liu |
| Price 2      | 132.00     | 08 Oct 2023 | Charlene Liu |
| Price 3      | 128.00     | 16 Nov 2023 | Charlene Liu |
| Price 4      | 116.00     | 09 Jan 2024 | Charlene Liu |
| Price 5      | 115.00     | 07 Feb 2024 | Charlene Liu |
| Price 6      | 111.00     | 09 Apr 2024 | Charlene Liu |
| Price 7      | 112.00     | 14 May 2024 | Charlene Liu |
| Price 8      | Restricted | 23 May 2024 |              |
| Price 9      | 112.00     | 24 May 2024 | Charlene Liu |
| Price 10     | 109.00     | 09 Jul 2024 | Charlene Liu |
| Price 11     | 131.00     | 02 Oct 2024 | Charlene Liu |
| Price 12     | 125.00     | 15 Nov 2024 | Charlene Liu |
| Price 13     | 156.00     | 20 Feb 2025 | Charlene Liu |
| Price 14     | 172.00     | 13 Mar 2025 | Charlene Liu |
| Price 15     | 146.00     | 09 Jul 2025 | Charlene Liu |
| Price 16     | 156.00     | 29 Aug 2025 | Charlene Liu |
| Price 17     | Restricted | 10 Sep 2025 |              |
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| Price 19     | 185.00     | 17 Sep 2025 | Charlene Liu |
| Price 20     | 200.00     | 08 Oct 2025 | Charlene Liu |
| Price 21     | 188.00     | 08 Jan 2026 | Charlene Liu |
| Price 22     | 176.00     | 19 Mar 2026 | Charlene Liu |
| Price 23     | 168.00     | 08 Apr 2026 | Charlene Liu |
| Price 24     | 176.00     | 13 May 2026 | Charlene Liu |
| Price 25     | 172.00     | 23 Jun 2026 | Charlene Liu |
| Price 26     | 166.00     | 08 Jul 2026 | Charlene Liu |
| Price 27     | 174.00     | 20 Aug 2026 | Charlene Liu |
| Price 28     | Restricted | 23 Aug 2026 |              |
| Price 29     | 174.00     | 24 Aug 2026 | Charlene Liu |

Source: HSBC

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Source: HSBC

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